

Key focus and themes

Foreign Exchange - Asia ex-Japan/Euro Area/Europe

Iran and AI risk events - staying short for most of SE Asia FX

Where do you expect US 10y yields to be in two weeks (current: 4.54%)?

1. **5.0% or higher**
2. **4.8% to 5.0%**
3. **4.6% to 4.8%**
4. **4.4% to 4.6%**
5. **4.4% or lower**

- Stronger USD momentum is building. We are watchful of US-Iran-China developments, as well as key US tech earnings in the near term. Overall, we maintain a maximum conviction level on our long SGD/IDR (5/5).
- Asia FX:** On 12 May we raised the conviction level on our long SGD/IDR to the maximum 5/5, and maintain high conviction levels on our long EUR/PHP and long EUR/INR. We remain short USD/CNH, with a modest conviction level of 3/5.
- G10 FX:** UK political risk premium is unlikely to be fully priced in the FX market yet, thus, we remain long EUR/GBP (conviction level 4/5). Long CHF/JPY (4/5) is also performing well, while we are aware that the risk of MOF intervention is gradually increasing again. Elsewhere, we hold long EUR/SEK (3/5) and short AUD/NZD (3/5) positions.
- Asia Rates:** We maintain a relatively high conviction level of 4/5 on our pay Jun-10y HK IRS, but now remove the receive US leg. We also add a receive Jun-1y SORA recommendation.

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Fig. 1: Top five top-conviction strategy trades in order (scale 1-5)

Top 5 FX and Rates Trades						
Countries	Trade	bp move from start	bp move from current	Target	Timeline	Conviction (0-5) Curr (Prev)
	Long SGD/IDR	515	345	14,200	End-Aug	5 (4)
	Long EUR/GBP	30	290	0.895	End-Jun	4 (3)
	Long EUR/PHP	190	240	73.5	End-Jul	4 (3)
	Long CHF/JPY	75	240	206.5	End-Jun	4 (3)
	Pay Jun-10y HK IRS	35	15	50bp gain	End-May	4 (3)

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 – Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura.

The positive momentum on USD may continue in the near term. Pre-existing support for USD from high energy prices, and the negative implications for most of the world on trade and capital flows continue. However, additional support for USD has come from a

Production Complete: 2026-05-15 15:29 UTC

See [Appendix A-1](#) for analyst certification, important disclosures and the status of non-US analysts.

few factors including: 1) **recent higher US inflation data** – pushing US yields higher and raising more concerns about the outlook for Fed rate cuts in 2026 (Fed Fund futures pricing in 15bp of hikes by end-2026); 2) the **US economy still holding steady**, as reflected in the stronger April US NFP release (8 May), and also the stronger April US retail sales data (14 May); and 3) **US equities breaking new highs**.

We continue to lean towards a bias of stress building for EM/Asia FX and especially South/Southeast Asia in the near term. However, we also remain aware of some risks that could reverse the recent USD strength. A further de-escalation of the Iran war is still an important factor that could lead to lower global energy prices, more positivity for broad markets, and some softening of USD.

It remains to be seen whether China will exert significant pressure on Iran, with limited comments from China suggesting that this would be the case.. China's Foreign Ministry (15 May) said that there should be "a solution that takes into account the concerns of all parties on issues such as the Iranian nuclear issue through dialogue... shipping routes should be reopened as soon as possible... and China has been working tirelessly to end the fighting and strive for peace... and play a constructive role in ultimately achieving lasting peace." This compares with the more forceful comments from the US White House readout (15 May) that said President Xi "made clear China's opposition to militarization of the Strait and any effort to charge a toll for its use..." and "... agreed that Iran can never have a nuclear weapon."

In the coming sessions, Trump will likely be focused back on trying to reach an agreement with Iran ,with the market also watching out on whether China will play a more significant role to re-open the Strait of Hormuz. The negative risk is whether there is limited additional efforts from China. There is also the risk that Iran holds back on any agreement on the view that higher energy prices are an effective way to adversely affect Trump/the Republicans, with midterms just over five months away (3 November 2026). Time Magazine (11 March) highlighted that in the last three mid-terms, where the price of oil (adjusted for inflation) is ~USD100/bbl (at this point of the cycle), the party in the White House lost 29 House seats on average.

The other near-term important focus will be on NVIDIA Q1 earnings results (20 May after US market close). With Nvidia stock up ~20% this month and ~43% since the end of March 2026, investors may need both a beat of revenue expectations (~79% y-o-y) and strong forward guidance. This will be key, as any disappointment could lead to downside risks to US equities, lowering the attractiveness of US assets/USD – though the risk is whether there is a sharp US equity sell-off, EM/Asia/risk FX will underperform (broadly speaking) USD (as compared with other parts of G10 FX such as CHF, JPY, EUR).

Overall, our strategy views in Asia FX remain intact, with highest conviction on our long SGD/IDR (maximum at 5/5; BI rate hike on 20 May will have little impact; no hike will see IDR weaken). We also remain long EUR/INR and EUR/PHP (4/5; watch VP Duterte impeachment case in Senate, 18 May). We continue to expect **CNH outperformance** with the broadly positive Xi-Trump summit, but adhere to some risk to our short USD/CNH view from the broad USD bid. **In G10 FX**, we maintain our relatively high conviction level (4/5) on our long EUR/GBP, with growing risks on the survival of PM Starmer; and maintain a 4/5 conviction level on our long CHF/JPY – though becoming more watchful as USD/JPY moves closer towards the 160 level. **In Asia rates**, we have a high conviction level (4/5) on our pay Jun-10y HK IRS on more HKD bond supply, a macro recovery and potentially higher HIBOR into half year-end. For the front-end, we are selectively more positive on valuation (receive Dec-1y Korea and Jun-1y SGD; convictions level 3/5).

Asia FX strategy

On our **long SGD/IDR**, on 12 May we **raised the conviction level to the maximum 5/5** (from 4), with a new target of 14,200 (~9% total gains) by end-August (was 13,850 by end-July), and a trailing stop-loss of 1.5%. In **Indonesia**, we continue to expect IDR underperformance because: 1) **significant FX reserve (FXR) drainage raises the risk of some FX adjustment**. We **believe** BI was an aggressive seller of FX/USD in AeJ in April. Despite the intervention, IDR still underperformed in AeJ. We believe that BI may allow some FX flexibility, which will help reduce the drainage of FXR; 2) **BI's recent efforts to promote FX stability have been insufficient and the market is questioning BI's willingness to hike rates aggressively**. Our economics team expects BI to hike rates by 25bp at each of the May and June policy meetings – watch **BI meeting** on 20 May. Our

discussions with investors suggest a 25bp hike will be insufficient in the current backdrop. We see further BOP pressures for Indonesia (also for most of the EM/Asia region) due to rising geopolitical risks and persistent fiscal concerns, as well as a worsening current account deficit (in Q2 due to dividend repatriation and elevated energy prices); 3) **following MSCI's May 2026 Index Review, Indonesia could see foreign equity outflows of ~USD1.7bn**. Effective from the US close of 29 May 2026, MSCI will delete six Indonesian stocks from its indices owing to concentrated ownership; 4) furthermore, **MSCI will soon communicate on the free float assessment of Indonesia securities as part of the Market Accessibility Review scheduled for June 2026**. Investor concerns remain about possible adjustments to the foreign inclusion factor (FIF), which could still exacerbate foreign equity outflows – our discussions with market participants suggest that halving the FIF could result in foreign equity outflows of ~USD4bn. FTSE Russell also noted (on 13 May) that in accordance with guidelines on free float restrictions, it will delete the affected Indonesian securities in its June index review (effective 22 June 2026). FTSE Russell also deferred full index re-ranking, free float increases and additions (IPOs) of Indonesian listed securities **until at least the September 2026 index review**; 5) **Indonesia's fiscal outlook remains under pressure from global factors – elevated energy prices**. The government remains committed to not breaching the fiscal deficit ceiling of 3.0% of GDP for now, but there are risks of a possible change in the state finance law (parliament session 12-31 May). There is also an increasing risk of *below-the-line spending*; 6) **rating agency downgrade risk**. Moody's and Fitch ratings agencies already have "negative" outlooks on Indonesia's sovereign ratings, and **S&P signalled that it might follow suit ahead of its review cycle in June or July**; and 7) **deteriorating business climate as highlighted by Chinese investors in Indonesia**. The China Chamber of Commerce in Indonesia has sent a letter to President Prabowo (*Tempo*, 13 May) urging the government to improve Indonesia's business climate, citing growing concerns among Chinese investors over regulations, law enforcement and policy uncertainty. This may have longer-term ramifications for FDI into Indonesia.

In **Singapore**, we continue to see scope for SGD to outperform because: 1) **elevated energy prices amid the US-Iran stalemate could increase inflationary pressures in the local economy**. March core inflation *picked up significantly* to 1.71% y-o-y from 1.45% in February, with the latest MAS CPI statement also including a more explicit characterization of upside inflation risks in comparison with the April monetary policy statement. Our economics team forecasts Singapore core CPI inflation to reach 2.8% in Q3 2026. Watch the **April core CPI** release on 25 May; 2) **US financing conditions remain relatively loose, which should be an important factor for the MAS FX tightening at the July policy announcement**. Favourable US financial conditions reduce the risk of a sharp global growth slowdown, and lower the negative tail risk on Singapore's growth for now (watch **April NODX** release on 18 May). If the US-Iran ceasefire remains in place, US financial conditions could remain relatively loose, unless there are unforeseen market/economic shocks; and 3) **the current relatively strong pace of S\$NEER annualised appreciation should also provide near-term support to SGD**. The MAS announced on 14 April 2026 that it will "increase slightly the rate of appreciation of the S\$NEER policy band," which we estimate to be an increment of 0.5pp, bringing the slope to +1.0% annualised. This could be raised further to +1.5% annualised in July.

In the **Philippines**, we maintain the conviction level on our **long EUR/PHP position** at 4/5, targeting 73.5 (~4% gains) by end-July (SL:71.5). We continue to favour PHP underperformance because: 1) **a recent negative development for PHP has been the renewed domestic *political tensions***. The Philippines' lower house successfully voted to impeach Vice President Sara Duterte for charges that include threatening the lives of top officials (*Philstar.com*, 11 May). However, Duterte's supporters also took control of the Senate, which suggests that the impeachment trial could be blocked or the Senate could even vote in favour of Duterte. We believe political uncertainties are likely to exacerbate investor concerns regarding Philippines' weak economic outlook and *credit ratings pressures*; 2) **BSP FX intervention in April highlights the severe BoP pressures on PHP**. We estimate **BSP net sold USD2.5bn of FX reserves** (3.1% of March 2026 FXR) in April 2026. Despite significant FX selling by BSP, PHP was still one of the worst performing AeJ currencies in April, depreciating by ~1.1% against USD to reach new highs. Notably, Presidential Communications Office Undersecretary Claire Castro commented (*Philippines News Agency*, 30 April) that **PHP's weakening was the result of overlapping global factors**, particularly the sustained strength of the USD and rising international oil prices, and added that President Marcos recognized these external

pressures and had a similar economic assessment. That said, Castro noted that “BSP... has the institutional mandate to stabilize the peso and prevent excessive volatility” (Bloomberg, 30 April); 3) **residents continued to shift into FX deposits**. Residents increased their FX deposits by USD0.4bn in March 2026, taking the YTD total to +USD2.3bn (+USD5.2bn in 2025). The **corruption** controversy on flood control projects has already weakened the Philippines’ growth outlook, and has been exacerbated by the negative effects of the Iran war and renewed local political tensions. Our concern is that weak growth and high inflation domestically (i.e., stagflationary concerns) could further encourage residents to shift into FX deposits; 4) **the Philippines’ current account deficit is vulnerable to elevated energy prices**. Our economists revised up our current account deficit forecast to 4.8% of GDP from 4.5% for 2026, owing to our new higher oil price assumption; and 5) **remittances are seasonally weak in May**, exacerbated by tensions in the Middle East which may cause a sustained dip in remittances.

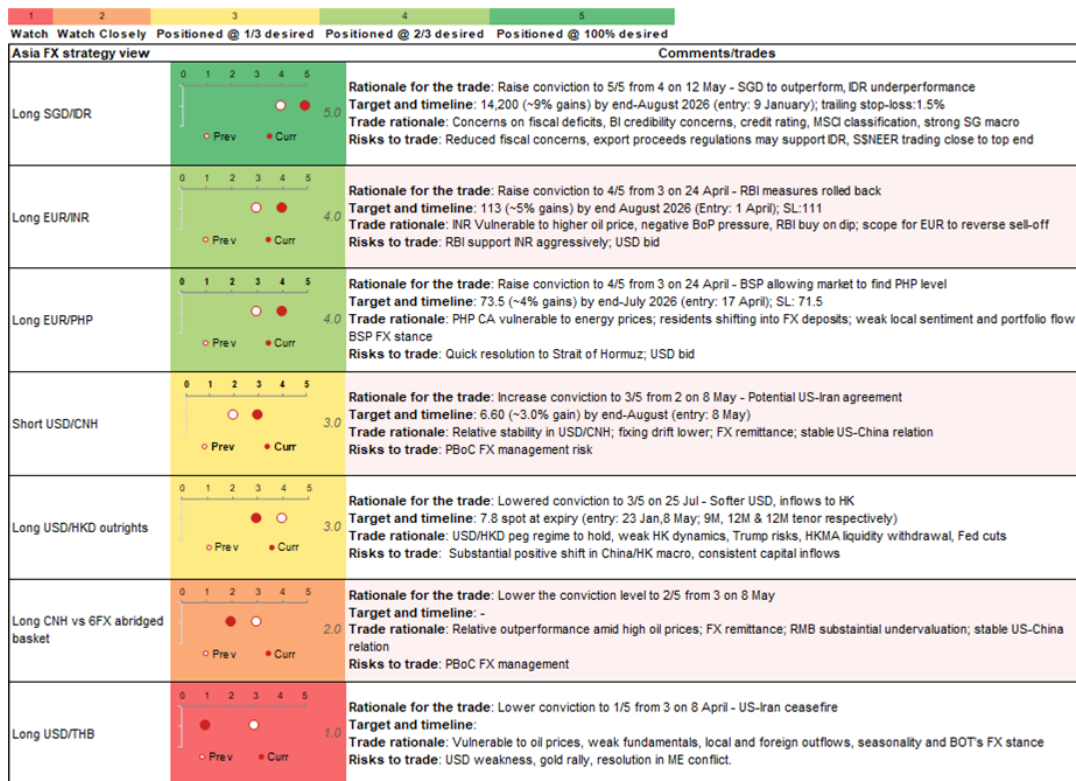
In **India**, we maintain the conviction level on **our long EUR/INR position** at 4/5, targeting 113 (~5% gains) by end-August with a stop-loss at 111. INR has been in focus of late with **a flurry of announcements from the government and possible RBI intervention**. PM Modi on 10 May, urged citizens to take measures such as avoid buying gold, conserve fuel and avoid non-essential travel to help conserve FX reserves as pressure on FX reserves rises (Reuters, 10 May). Moreover, India **raised import tariffs on gold and silver** to 15% (from 6%) on 13 May (Reuters), and further tightened imports by capping duty-free gold imports for jewelry exports at 100kg per licence on 14 May (licence for subsequent imports will only be issued after 50% is exported; Reuters). Reuters also reported (14 May) that India is considering a reduction in taxes paid by foreign investors on the country’s bonds as authorities seek to align policies with global norms and attract inflows.

We believe the **focus of these gold measures has not been targeted directly on pushing USD/INR lower**, but to manage FX reserves drainage owing to the current negative BoP flow backdrop. Evidence of this can be seen in USD/INR price action, where spot traded at all-time highs of 96.14 (despite all these announcements). We remain cognizant of short-term relative INR outperformance if India announces further measures to control capital flows, and therefore, we implemented a stop-loss at 111. **Factors leading to INR underperformance** include: 1) **BoP flows continue to put depreciation pressures on INR**. The April trade deficit widened to USD28.4bn from USD20.7bn in March, bringing the YTD deficit to USD110.8bn, owing to the lagged impact of higher oil prices despite gold imports being stuck in customs; 2) **foreign portfolio investors also net sold USD1.8bn of Indian bonds and equities in MTD May** (1 to 13 May), adding to INR depreciation pressures; 3) **the RBI’s FX demand is likely to be strong on any dips in USD** owing to the significant drain in FX reserves. We estimate that the RBI has **drained USD99.6bn** (spot + forward) between July 2025 and March 2026. In April, we estimate the RBI **sold another USD4.8bn** (spot only).

In **China**, we maintain the conviction level on our **short USD/CNH** position at a modest 3/5, targeting 6.60 (~3% gains) by end-August. Trump’s state visit to China (13-15 May) has been broadly constructive, and we view this as supportive of our **CNH outperformance** view. While we see a risk of a stronger USD backdrop temporarily impeding the downtrend in USD/CNH, we continue to believe any potential upside is limited. Factors for our CNH outperformance view include: 1) **the US-China leaders’ summit created a constructive backdrop** for US-China relations in coming months. There were efforts to slow or even reverse process trade and the investment decoupling process between these two major economies. In our view, improving communications and personal ties between the two world leaders should help reduce the risk of an unintended escalation of tensions; 2) besides constructive US-China relations, we also have **favorable views on China’s capital flows, political/policy developments and the relative competitiveness of China/RMB**; 3) **USD/CNY fixing continues to drift lower with some official constraints**. This week, the daily fixing was on average 17pips lower from 11-15 May and the positive fixing error (actual fix - model projection) widened to an average of +463pips. Despite lower fixings, we believe the Chinese authorities have also constrained the move lower in the daily USD/CNY fixing. This is also somewhat evident from April FX deposits increasing by USD18.8bn m-o-m, in line with **our expectation** that major Chinese banks were buying USD to absorb some FX settlement demand in the onshore market; and 3) **onshore corporates are likely to continue repatriating their USD holdings in the coming months**. The resilience of China’s **exports** is likely to continue in April and in 2026, and our economics team has raised its export growth

forecast to **8.6%** from 4.0% for 2026, owing to the global AI super cycle boosting prices and demand for China's AI-linked goods, and also rising global demand for China's green products. Watch **April FX trade settlement data** and **tier-1 activity** data releases (18 May).

Fig. 2: Our views on Asia FX



Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 – Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.

Source: Nomura

G10 FX strategy

JPY: Both yen and JGBs under pressure, what will officials do?

The Middle East situation has stalled, and with crude oil prices remaining elevated, USD is being broadly bought back in the FX market. USD/JPY is showing nervous price action amid strong caution over intervention, but it has recently recovered to the 158 level and is drifting higher. *This can be seen as a move testing the authorities' intervention line, and heading into next week it will be necessary to watch for warning comments from officials, as well as the possibility of actual intervention*. At the G7 Finance Ministers and Central Bank Governors Meeting on 18-19 May, with the focus on *Treasury Secretary Bessent's stance on Japan's currency and monetary policy*. It is currently unconfirmed whether Governor Ueda will attend, but as global bond yields come under upward pressure, market attention is likely to increase if a meeting between Treasury Secretary Bessent and Governor Ueda is arranged. If BOJ board member Koeda signals a positive stance toward a June rate hike in her speech on Thursday, it might provide some support to JPY, *because of the view that a majority support a June hike at the moment*. Unless there is a clear improvement in the Middle East situation, the main scenario for USD/JPY is to remain elevated, though caution is warranted regarding sporadic risks of a sharp JPY surge. We will avoid trading USD/JPY for now, recommending CHF/JPY long positions.

Long EUR/GBP: Starmer not calmer with potential replacement set for a Street fight

We raised the conviction on this idea on 12 May, following clear signs that UK PM Keir Starmer would face increased pressure over his job following the disastrous set of local election results. Since then, there has been many media reports on this topic, but continue to suggest a range of possible replacements. The current front-runner appears to be former Health Secretary Wes Streeting, who resigned on 14 May and called for the PM to step aside. Streeting himself would probably be the least worrying appointment for GBP,

but by potentially challenging for the role (he needs 81 Labour MPs to publicly back him if he wants to do so) it likely opens up room for a more left-leaning, less market-friendly candidate to enter the fray. Manchester Mayor Andy Burnham appears to be a favoured alternative among party members (based on Labour List polling), and while he is not currently an MP, the path for him to challenge Starmer has become clearer following the resignation of Josh Simons in Makerfield. He still needs to secure approval from the NEC to stand in the by-election and then win it, but his biggest hurdle of finding an MP seat has now been cleared. Angela Rayner, formerly deputy PM, was recently cleared of intentional wrong-doing over a tax issue, potentially re-opening the door for her. Neither of these candidates would be welcomed by UK markets, and should they enter the fray and look well supported, we would expect pressure to mount on GBP via potential foreign investor selling of gilts and an increase in speculative GBP short positions (which look light on most measures). On the data front, the focus will be labour market and CPI data. The former has pointed to a softer wage backdrop than in 2022, for example, leading some MPC members to show less concern about second-round inflation effects, while the inflation print will be skewed by technical adjustments related to last year's vehicle excise duty changes, which will need to be stripped out to get a better reading of underlying inflation. ECB comments have continued to lean towards a June hike in recent weeks. We will hear from Emmanuel Moulin, who is set to become Governor of the Banque de France.

Remain long CHF/JPY with conviction of 4/5 (target: 206.50, entry: 200.20 on 1 May)

Intervention wariness continued to dominate JPY trading this week, with USD/JPY temporarily dropping sharply to around 158 on both 12 and 14 May. Our estimates suggest neither episode was actual MOF intervention (though pinpointing the exact trigger is difficult), but the market is clearly on edge. If these concerns about intervention are dispelled, yen selling could accelerate quickly. Indeed, there was price action from Thursday to Friday, with USD/JPY reaching 158.67 at one point. The lack of sufficiently hawkish BOJ comments to out-hawk market pricing also makes a bullish yen pivot difficult. Nevertheless, a fast pace move higher in USD/JPY towards 160 will further increase the risk of MOF intervention and/or a NY Fed rate check, thus increasing short JPY exposure from here does not seem to be sensible from a risk-reward perspective. Thus, we maintain our buy-on-dips stance on JPY crosses, with CHF/JPY standing out as an attractive long for the following reasons: 1) May seasonality is typically supportive (hit ratio of 90% since 2016); 2) EUR/CHF has not yet entered territory (below 0.91), where the SNB would likely push back against CHF strength; 3) rising equities, as markets become more "accustomed to" geopolitical headlines, providing a tailwind for JPY crosses. Both countries release their respective GDP data next week (Switzerland on 18 May, Japan on 19 May), but Swiss GDP likely carries greater significance, as a strong print would diminish the case for the SNB to actively weaken CHF in support of the economy.

Long EUR/SEK: SEK's seasonal underperformance continues but may be nearing an end

EUR/SEK continues to grind higher, up around 1.4% since our trade entry on 17 April. However, some of the seasonal selling pressure in the form of dividend outflows, may be drawing to a close with historical payments tending to end in Q2, around two-thirds of the way through the month. The other angle we see to SEK underperformance is a more dovish Riksbank than its peers. Recent inflation data make it hard for the central bank to look too concerned about upside risks, though some of the recent slowing has been related to the reduction of VAT on food. The Riksbank minutes suggested that most MPC members are comfortable with the wait-and-see approach to rates from here, and we think that the rate spread between the EUR and SEK has more scope to move in favour of the former. Much will also depend on developments in the Middle East, where SEK has shown a bit more of a higher beta reaction than EUR, with the major risk to our trade being signs of progress on the Strait of Hormuz reopening.

AUD and NZD: Hold short AUD/NZD with modest conviction (3/5)

The AUD outlook appears very mixed in our view. Our RBA view (no further hikes) is somewhat more dovish than current market pricing, and rate spreads do not appear supportive, noting that markets moved this week to price a little more hiking in the US. Positioning data also suggest a balance of long positions, which may be becoming increasingly stale, in our view. Against this, market sentiment appears to be holding up relatively well – perhaps surprisingly, with the Strait of Hormuz still closed and oil prices

rising – with US equities and copper prices making fresh highs this week. Elsewhere, a somewhat firmer USD appears as another headwind, though CNY held up reasonably well this week. We remain a little more positive on NZD, based largely on rate spreads and positioning, and we continue to hold a short AUD/NZD position, albeit with modest conviction (3/5). The move higher in oil prices this week has weighed on this position, in our view, and the market's apparent take on New Zealand inflation data appears to have impacted too. While short-term (1-2 year) inflation expectations rose this week, longer term (5-10 year) inflation expectations fell, capturing some attention, and April food prices were also flat in the month. We give little weight to the latter, noting that food prices were dragged down by a 2.3% m-o-m fall in volatile fruit and vegetable prices, and other components of the Select Price Indicator report (from which food prices are reported) revealed sharply higher prices, including for petrol (12.6% m-o-m), diesel (36.6% m-o-m), electricity (2.4% m-o-m) and domestic (4.2% m-o-m) and international (6.2% m-o-m) airfares.

Fig. 3: Our views on G10 FX

	1	2	3	4	5	
	Watch	Watch Closely	Positioned @ 1/3 desired	Positioned @ 2/3 desired	Positioned @ 100% desired	
G10 FX strategy view						Comments/trades
Long EUR/GBP						Rationale for the latest conviction change: Raised conviction to 4/5 from 3/5 (on 12 May), in light of the increased UK political uncertainty Target and timeline: Target 0.8950 by end-June (from entry a 0.8675 on 9 January 2026) Trade rationale: A potential challenge to the UK Prime Minister, asymmetric reaction to risk sentiment, our view of ECB's back-to-back hike in June and July Risks to trade: European inflation / activity weakens or UK stickier UK inflation prompts more hawkish BoE compared to the market pricing
Long CHF/JPY						Rationale for the latest conviction change: Raised conviction to 4/5 on 5 May 2026 after second wave of MOF intervention failed to materially strengthen Target and timeline: 206.50 (c3%) by end-June Trade rationale: JPY buying intervention from MOF expected to have short-lived impact; seasonal flows supportive of CHF in May and June Risks to trade: SNB intervention against CHF strength, more forceful follow through from MOF on JPY buying
Short AUD/NZD						Rationale for the latest conviction change: Open short AUD/NZD at 1.2200 on 30 April, conviction 3/5 Target and timeline: 1.18 (3.35%) by end-June Trade rationale: i) more hawkish RBNZ and rate spreads; ii) relative positioning; iii) RBA could be more dovish than current market pricing Risks to trade: i) another surge in oil prices; ii) a surprisingly hawkish RBA
Long EUR/SEK						Rationale for the latest conviction change: Open long EUR/SEK on 17 April, conviction 3/5 Target and timeline: 11.20 (c3.5%) by end-June (from entry of 10.82 on 17 April 2026) Trade rationale: Riksbank reaction function likely to be much less hawkish than ECB; seasonal flows on BOP worsen in Q2 for SEK Risks to trade: Dovish ECB, strong risk sentiment could prompt more flows into SEK than EUR

Source: Nomura

Asia rates strategy

HK: Maintain pay Jun-10y with a conviction level of 4/5

Over the past two years, Hong Kong rates have tended to outperform the US, with the latter moving up with a beta of 0.6-0.7. However, the beta has increased to 1.1x in the past month, when 10y US rates went up ~40bp. The change in the beta, in our view, represents a change in underlying dynamics in favour of paying long-end HK rates. A large pick-up in non-financial HKD bond issuance, such as the HK Airport Authority and MTR, a recovery in residential property market/mortgage loan growth and an improvement in key macro data (such as Q1 GDP) have been drivers, and we expect this to continue. Valuation wise, we also think the current 10y HK-US spread (at -70bp) remains too low. Note this spread was close to -20bp two years ago, when 10y US was at a similar level to now. Looking ahead, we will also monitor whether the recent grind higher in the HIBOR fixing can continue into half year-end with IPOs and dividend payments, but the bigger opportunity remains in the long-end, in our view. We have been holding the pay Jun-10y IRS position vs. 2/3 US, in line with the historical average beta. But with US rates having broken out of their recent range, we are removing the receive US leg and moving back to an outright pay 10y HK IRS position (Jun-10y HK and US IRS at 3.42% and 4.115% 4:30pm HK time).

Korea: Maintain receive Dec-1y with conviction level of 3/5, with stop 10bp above the current level

Korea rates moved up substantially this week in a bear-steepening fashion. We *switched* our receive position from Jun-5y to receive-1y on Wednesday, as we think the front-end offers better protection with the market already pricing policy hikes of over 100bp in the next 12 months (of course some of that pricing can be attributed to term premium rather than just BOK hike expectations). Also unlike the long-end, very front-end rates are trading technically better, as they are still below the last high in late March. Apart from valuation, another potential driver of lower Korea rates could come from KOSPI if today's decline extends, reducing the term premium of an aggressive BOK hike. That said, in light of

current global rate trends and a focus on the re-acceleration of Korea property prices, we will set a stop on this position at 10bp above the current level of 3.93%.

Singapore: Add small front-end receiver (Jun-1y)

We tactically add a Jun-IMM 1y receive position (current: 1.35%), with a conviction level of 3/5, targeting a move to 1.20% by end-June. The SORA fix has retraced this week from the 1.40% area, down to the 1.20% area. We feel that given the ongoing uncertainty surrounding the Middle East the intention is to keep liquidity relatively flush. The recent MAS bill auctions have seen very little draining or injections to banking liquidity and April reserves data continue to show the MAS adding to reserves. The low vol, high carry and high level make this an attractive entry point to receive the front-end; however, we are cognisant of the risks because of the elevated crude prices.

Thailand: Retain our receive 5y position because of the steep curve and market pricing

In **Thailand**, we maintain our outperformance view via our receive position in the 5y part of the curve; however, but with a moderate conviction of 3/5. This past week, Thai rates have moved sharply higher in sync with US rates, though today we have seen some underperformance. With 1y1y back to 1.65%, we believe the market continues to price in too much premia at the front-end of the curve. Our base case remains one in which the BOT leaves policy rates unchanged throughout this year; however, given current oil prices and uncertainty, the market will retain some level of risk premia, but 2.5 hikes feel excessive. We reduce the US hedge down to 50% after the sharp move higher in US rates over the past week (current: 1.81%/3.925%).

China: Pay Jun-3y NDIRS vs. long 30y CGB (extra pay 3y, conviction 3/5)

China rates continued to move in a tight range this week. The 7d repo fixing dropped further to 1.35% and 1y NCD yield stabilized around 1.44%, and these were against our earlier expectation of a small rebound in money market rates. That said, swap rates did not rally either, meaning ultra-flush liquidity for a longer time period had been somewhat expected. With the PBoC having net drained RMB1trn of medium-to-long term liquidity via 3m and 6m ORRs in May so far (RMB200bn in March and RMB560bn in April; all tools combined), we think the risk-reward still favors positioning for small liquidity tightening and higher front-end rates. On the 30y CGB, because of our view on liquidity (no sudden or big rise in funding cost) and economic growth headwinds (very weak *credit* demand), we think onshore funds (the key driver of bond yield movements) are unlikely to reduce their holdings massively. Thus, the upside in the 30y CGB yield should be capped, and we hold our pay Jun-3y vs. long 30y CGB with extra pay in 3y (conviction 3/5). Next week, watch out for April activity data on Monday.

India: Neutral on India for now

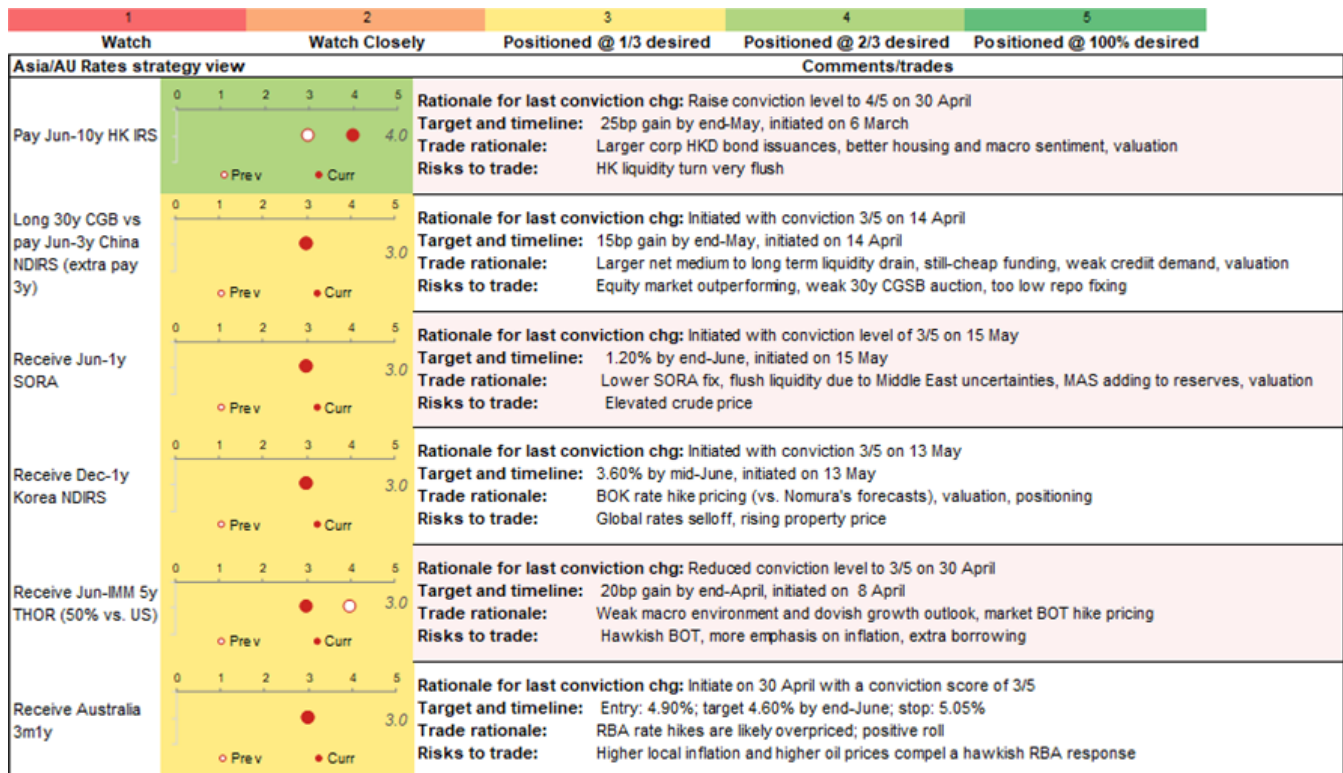
We got stopped out of our tactical front-end receive position on the NDOIS curve yesterday owing to the large move higher. The market has aggressively priced in more tightening for the RBI, as FX concerns continue to linger. We think it is difficult to fade the market pricing owing to the potential for a large emergency rate hike alongside other measures to support the currency, though this is not our base case. The RBI governor spoke this week and while he sounded data dependant, the market is concerned that following the fuel price hike, we can see this translate into repo rate action. With the June meeting still a few weeks away the uncertainty remains high.

Australia rates: Hold received 3m1y with a modest conviction (3/5)

Developed market yields rose notably this week, with higher oil prices, resilient US growth and inflation data and tepid US bond auctions the key drivers of the US move. Australian yields were dragged higher in response, but outperformed on a cross-market basis. The *local Budget* caused little market reaction; budget deficit forecasts were revised lower, although by less than expected, and the AOFM announced an ACGB issuance program of around AUD125bn in 2026-27, from a revised AUD120bn (was AUD125bn) in 2025-26, and implying some increase in T note issuance, and/or reduction in cash holdings on our figuring. We remain positioned (long) in the defensive front part of the curve (3m1y), where our RBA view (most likely on hold) contrasts with market pricing (~40bp of tightening by year-end) and where attractive roll is available. Our focus next week – aside from oil and geopolitics – will be on the RBA's May meeting minutes and the April jobs report. The May policy meeting delivered a third consecutive 25bp rate hike, with a resolute (8/1) decision, although the governor indicated at the subsequent press

conference that the board now had “space” to watch for impacts from these hikes, and “space” to give considerations to both sides of its mandate (not just inflation). Our forecast for the jobs data (20k and 4.3%) will likely prove close to consensus; leading indicators suggest trend-type job growth near term, but we are wary that the labour market could soften over subsequent months given the oil shock and loss of business confidence.

Fig. 4: Our views on Asia and AUD rates



Source: Nomura

Previously, we asked “Do you expect CNH to strengthen against the USD in the two weeks after the Trump-Xi meeting (14-15 May) (current: 6.80)?”, **52.9%** chose “Yes, Between 6.75 – 6.80”, **23.5%** chose “Yes, Between 6.70 – 6.75”, **17.6%** chose “No”, and **5.9%** chose “Yes, below 6.70”.

Please see [Strategy portfolio update](#) (7 May 2026) for our full portfolio.

Fig. 5: Trade ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
<i>*NEW Receive Jun-IMM 1y SORA</i>	1.20%	end-Jun	3	15-May-26
<i>Short USD/CNH</i>	6.6	end-Aug	3	8-May-26
<i>Long 12m USD/HKD</i>	7.8	12-May-27	3	8-May-26
<i>Receive Australia 3m1y</i>	30bp gain	end-Jun	3	30-Apr-26
<i>Short AUD/NZD</i>	1.1800	end-Jun	3	30-Apr-26
<i>Long CNH vs 6FX abridged basket</i>	-	-	2	30-Apr-26
<i>Long CHF/JPY</i>	206.5	end-Jun	4	30-Apr-26
<i>Long EUR/PHP</i>	73.5	end-Jul	4	17-Apr-26
<i>Long EUR/SEK</i>	11.2	end-Jun	3	17-Apr-26
<i>Receive Dec-1y Korea NDIRS</i>	3.60%	mid-Jun	3	13-May-26
<i>Long 30y CGB vs. pay Jun-3y China NDIRS (extra pay in 3y)</i>	15bp gain	end-May	3	14-Apr-26
<i>Receive Jun-IMM 5y THOR (50% vs. US)</i>	20bp gain	end-May	3	8-Apr-26
<i>Long EUR/INR</i>	113	end-Aug	4	1-Apr-26
<i>Pay Jun-IMM 10y HK IRS</i>	50bp gain	end-May	4	6-Mar-26
<i>Long USD/THB</i>	-	-	1	2-Feb-26
<i>Long 9m USD/HKD</i>	7.8	27-Oct-26	3	23-Jan-26
<i>Long 12m USD/HKD</i>	7.8	27-Jan-27	3	23-Jan-26
<i>Long SGD/IDR</i>	14,200	end-Aug	5	9-Jan-26
<i>Long EUR/GBP</i>	0.8950	end-Jun	4	9-Jan-26

Source: Nomura

Fig. 6: Global FX forecasts

		15-May	Q2 26	Q3 26	Q4 26	Q4 27
G10						
US Dollar Index	(DXY)	99.10	98.70	95.80	95.00	92.60
Japanese yen	(USD/JPY)	158.5	157.5	155.0	152.5	145.0
Euro	(EUR/JPY)	184.5	183	186	186	181
	(EUR)	1.16	1.16	1.20	1.22	1.25
Swiss Franc	(CHF)	0.79	0.79	0.76	0.74	0.72
	(EUR/CHF)	0.91	0.92	0.91	0.90	0.90
British Pound	(GBP)	1.34	1.33	1.34	1.36	1.38
	(EUR/GBP)	0.87	0.87	0.90	0.90	0.91
Australian Dollar	(AUD)	0.72	0.69	0.71	0.73	0.75
Canadian Dollar	(CAD)	1.37	1.39	1.37	1.35	1.35
New Zealand Dollar	(NZD)	0.58	0.58	0.60	0.62	0.65
Norwegian Krone	(EUR/NOK)	10.84	11.30	11.00	11.00	11.00
Swedish Krona	(EUR/SEK)	10.98	10.80	10.60	10.50	10.50
Asia						
Chinese Renminbi	(CNH)	6.81	6.75	6.60	6.50	6.30
	(CNY)	6.81	6.75	6.60	6.50	6.30
Hong Kong Dollar	(HKD)	7.831	7.840	7.820	7.800	7.790
Indonesian Rupiah	(IDR)	17465.0	17150	17000	16900	16600
Indian Rupee	(INR)	96.0	94.5	94.0	93.5	92.0
Korean Won	(KRW)	1498.5	1525	1500	1470	1420
Malaysian Ringgit	(MYR)	3.96	4.03	4.02	4.01	3.99
Philippine Peso	(PHP)	61.7	60.6	60.0	59.7	59.0
Singapore Dollar	(SGD)	1.279	1.280	1.255	1.240	1.215
Thai Baht	(THB)	32.6	33.2	32.8	32.0	31.3
Taiwan Dollar	(TWD)	31.5	31.9	31.3	30.8	30.0
CEEMEA						
Turkish Lira	(TRY)	45.5	46.5	48.0	49.5	56.0

Source: Bloomberg, Nomura.

Fig. 7: Rates forecast

As of 15-May		Current	Q2 26	Q3 26	Q4 26
CNY	10y CGB yield	1.75	1.85	1.90	1.95
KRW	10y KTB yield	4.09	3.75	3.70	3.60
TWD	10y TGB yield	1.64	1.50	1.55	1.55
THB	10y ThaiGB yield	2.21	2.00	1.75	1.75
IDR	10y IndoGB yield	6.69	6.50	6.25	6.00
INR	10y IGB yield	7.06	7.00	7.00	7.00
SGD	10y SIGB yield	2.08	2.25	2.25	2.25

Source: Nomura

Appendix A-1

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